Republic of the Philippines
ENERGY
REGULATORY
COMMISSION

Annex B

A RESOLUTION ADOPTING THE RULES ON THE GAS AUCTION THRESHOLD PRICE DETERMINATION METHODOLOGY, GAS PRICE BENCHMARK, AND SETTLEMENT MECHANISM FOR THE MID-MERIT NATURAL GAS CAPACITY AUCTION PROGRAM UNDER DEPARTMENT OF ENERGY DEPARTMENT CIRCULAR NO. DC2026-06-0013

Company: Panasia Energy Inc. and Strategic Energy Development Inc.
Office Address: 3204-B East Tower, Tektite Towers, Exchange Road, Ortigas Business Center, Barangay San Antonio, Pasig City
Email Address:

Page/Section Number	Discussion of Comment(s) and/or Questions for Clarification	Comment/s and Suggestion/s
Page 10/Section 6	A single unified GAT price for all Facility Types is preferable and advantageous to a CCGT that can continue to operate on open cycle mode when its steam turbine is out for maintenance or repair.	
Page 13/Section 8.7	For existing uncommitted facilities described under Section 10.3 of DC2026-06-0013 and for repowered facilities which were converted to run on natural gas, the use of the original nameplate gross capacity of the plant may not be appropriate since the original unit rating may not be realized anymore.	We suggest the use of dependable capacity to consider the age of the plant and to account also for ambient limitations.
Page 17/Section 10	The quality of the identified gas source types (Indigenous, Imported LNG and Blended) may be different. The quality and composition of the natural gas used materially affects the power output of a CCGT plant, and should be considered in setting the GAT Price. A CCGT plant relies on waste heat recovery via a heat recovery steam generator (HRSG). If natural gas quality lowers the gas turbine's exhaust temperature or mass flow, less steam is generated, reducing the secondary steam turbine's output.	
Page 21/Section 17	When will the initial allowable add-on cost caps be issued by the Commission? What will be the basis and methodology in establishing these allowable add-on cost caps?	

Page 24/Section 19	When will the reference heat rate caps for the different facility types be issued by the Commission? What will be the basis and methodology in determining these reference heat rate caps?	
Page 25/Section 21	What happens if the natural gas supplier is unable to deliver fuel due to force majeure, and the power plant is forced to use liquid fuel (diesel) to continue operations. Will shouldering the cost of the replacement fuel be the responsibility of the Winning Bidder?	
Page 32/Section 35.2	The written certification of the WESM Governance Arm should be based on the successful results of the software certification audit of the Settlement Mechanism market system conducted by a third-party auditor.	
Page 6, Annex A	The Commission may consider applicable data from the Avion open cycle gas turbine power plant which commenced commercial operation in August 2016.	